

About Liability Scope & Allocation Standard (LSAS)

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Architecture:

LIGA™ — Liability Governance Architecture

Category:

Governance & Enforcement

Subcategory:

Liability Governance

Standard:

Liability Scope & Allocation Standard (LSAS)

Governed Space:

Liability Scope & Allocation

What Is the Liability Scope & Allocation Standard?

The Liability Scope & Allocation Standard (LSAS) is the LIGA™ Parent Standard governing what established Liability applies to, how far that Liability extends, and how it is distributed across relevant Liability Subjects and Liability Relationships.

LSAS begins only after Liability has been sufficiently determined through the Liability Determination Standard (LDS).

Its role is not to decide again whether Liability exists.

Its role is to govern the next questions:

What does the established Liability cover?

What falls outside it?

How far does it extend?

Where multiple Liability Relationships exist, how is that Liability distributed?

Canonical Meaning

Within LIGA™, three governance operations must remain distinct:

Liability Determination → Liability Scope → Liability Allocation Liability Determination establishes whether Liability attaches.

Liability Scope establishes the extent of that Liability.

Liability Allocation establishes how the governed Liability is distributed across relevant Subjects and Relationships.

These operations may depend upon one another, but they are not interchangeable.

The canonical LSAS principle is:

Attachment establishes Liability. Scope establishes its extent. Allocation establishes its distribution.

Core Question

For what and to what extent does established Liability apply, and how is that Liability distributed where multiple Liability relationships exist?

What Does LSAS Govern?

LSAS governs the extent and distribution of established Liability.

This includes governance of:

Liability Scope, Scope boundaries, included and excluded Scope, partial Scope, unresolved Scope, Subject-specific Scope, Relationship-specific Scope, Object-specific Scope, Basis-specific Scope, temporal Scope, quantitative and qualitative Scope, Scope limitations and exceptions, Allocation Subjects, Allocation Relationships, Allocation methods, individual and shared Allocation, proportional and non-proportional Allocation, layered Allocation, unallocated Liability, Allocation conflicts, Allocation uncertainty, Scope and Allocation change, and historical Scope and Allocation states.

Its principal output is:

Governed Liability Scope & Allocation Structure

What Does LSAS Not Govern?

LSAS does not determine whether Liability initially attaches.

That belongs to LDS.

LSAS also does not govern the underlying lifecycle of:

Harm, Operational Reality, Responsibility, Accountability, Evidence, Claims, Insurance, Payment, Recourse, Resolution, Discharge, or Finality.

These concepts may affect or interact with Liability Scope or Allocation, but they remain distinct governance objects.

Why Is LSAS Necessary?

Knowing that Liability exists is not enough to govern it.

A Liability Determination may establish that a Subject bears Liability while leaving unanswered:

what exactly that Liability covers, which consequences fall within it, which matters remain outside it, what period it covers, whether its extent is quantitative or qualitative, whether several Subjects participate, and how Liability is distributed among them.

Without a separate Scope & Allocation layer, systems can collapse three fundamentally different questions into one:

Does Liability exist?

How extensive is it?

Who bears which part?

LSAS prevents that collapse.

From Determination to Scope

LSAS receives a:

Governed Liability Determination State

from LDS.

That Determination establishes whether Liability has attached within a defined Determination Scope.

LSAS then establishes the substantive extent of the resulting Liability.

Therefore:

Liability Determination $\neq$ Liability Scope.

An Attached state does not mean that every Harm, loss, damage, cost, obligation, consequence, or Claim associated with the matter automatically falls within the Liability.

Each relevant boundary must be governed.

Liability Scope

Liability Scope answers:

What does this established Liability actually cover?

Scope may be bounded by materially relevant dimensions such as:

Subject, Relationship, Liability Object, Liability Basis, consequence, obligation, time, location, value, quantity, or another applicable boundary.

LSAS does not assume that every Liability has the same type of Scope.

Included and Excluded Scope

LSAS distinguishes what falls within established Liability from what falls outside it.

A matter may be:

Included, Excluded, Partially Included, Pending, Unknown, Uncertain, or Disputed.

This distinction is important because:

Attached Liability $\neq$ Unlimited Liability.

The existence of Liability does not remove the need to govern its boundaries.

Partial and Unresolved Scope

A Liability may be established even where its complete extent is not yet known.

For example, Liability may attach while:

some consequences remain developing, a quantitative amount remains unknown, part of the relevant period remains disputed, or the relationship between Liability and a particular consequence remains unresolved.

Therefore:

Attached Liability $\neq$ Fully Known Liability Scope.

LSAS preserves these unresolved states rather than forcing premature completeness.

Quantitative and Qualitative Scope

Liability Scope is not necessarily monetary.

Quantitative Scope may involve:

amounts, percentages, quantities, durations, or measurable units.

Qualitative Scope may involve:

performance, repair, restoration, correction, restriction, or another governed obligation.

Therefore:

Liability Scope $\neq$ Monetary Amount by default.

From Scope to Allocation

Once Liability Scope is sufficiently established, LSAS determines whether that Scope requires Allocation.

The canonical sequence is:

Attached Liability $\rightarrow$ Governed Liability Scope $\rightarrow$ Liability Allocation Allocation does not determine whether Liability exists.

It distributes Liability that has already been determined and scoped.

Therefore:

Liability Scope $\neq$ Liability Allocation.

Liability Allocation

Liability Allocation answers:

Where multiple relevant Liability Subjects or Relationships exist, how is the established Liability distributed?

Depending on the applicable governance structure, Allocation may be:

individual, shared, proportional, non-proportional, layered, conditional, sequential, or otherwise legitimately structured.

LSAS does not impose one universal Allocation method.

The applicable method must arise from the governed Liability structure.

Multi-Subject Liability

One event may involve several Subjects without producing identical Liability for each.

For example, different Subjects may possess:

different Liability Bases, different Relationships, different Conditions, different Connections, different Determination States, and different Liability Scopes.

Therefore:

One Event $\neq$ One Liability Allocation.

Each materially distinct Liability Relationship must remain governable.

Liability Networks

Complex matters may create a Liability Network rather than a single Liability Relationship.

One occurrence may produce:

multiple Subjects, multiple Relationships, multiple Determinations, multiple Scopes, and multiple Allocations.

A local Allocation within one Relationship must not automatically be treated as the Allocation for the complete network.

Therefore:

Local Liability Allocation $\neq$ Liability Network Allocation.

Allocation Does Not Mean Equal Distribution

Shared Liability does not imply equal Liability.

Where multiple Subjects participate, their Allocation may differ according to the applicable governed structure.

Therefore:

Shared Liability $\neq$ Identical Liability.

Likewise, LSAS does not assume that every multi-party Liability structure can be reduced to percentages.

Unallocated Liability

Part of an established Liability Scope may remain unallocated.

This may occur because the relevant Allocation is:

Pending, Unknown, Uncertain, Disputed, or dependent upon another governance process.

LSAS preserves that state.

Therefore:

Unallocated Liability $\neq$ Nonexistent Liability.

Allocation Reconciliation

Where multiple Allocations exist, LSAS governs their reconciliation against the established Liability Scope.

This helps identify:

overlap, duplication, under-allocation, unallocated portions, conflicting Allocations, and inconsistent boundaries.

Reconciliation must preserve the distinction between Liability Allocation and later economic or operational consequences.

Liability-Bearing Party and Paying Party

The Subject bearing Liability may not be the Subject that ultimately bears the economic cost.

Insurance, indemnification, contractual arrangements, transfer mechanisms, or recourse may alter who ultimately pays.

Therefore:

Liability-Bearing Party $\neq$ Paying Party.

LSAS governs the underlying Liability Scope and Allocation.

Downstream movement or redistribution belongs primarily to Liability Transfer & Recourse governance.

Allocation and Insurance

Insurance coverage does not automatically determine the underlying Liability Allocation.

An insurer may satisfy part of an economic obligation without becoming the original Liability-bearing Subject.

Therefore:

Insurance Coverage $\neq$ Liability Allocation by default.

Allocation and Recourse

Primary Liability Allocation and Recourse Liability must remain distinct.

A Subject may bear primary Liability while another Relationship later creates:

contribution, indemnification, reimbursement, insurance recovery, or another Recourse structure.

Therefore:

Primary Liability $\neq$ Recourse Liability.

LSAS establishes the underlying Scope and Allocation before those downstream structures are governed.

Harm and Liability Scope

Where Harm is relevant, HAGA™ governs the Harm lifecycle.

LSAS may determine whether particular governed Harm states or consequences fall within established Liability Scope.

It does not take governance ownership of Harm itself.

Therefore:

Harm Scope $\neq$ Liability Scope by default.

A Harm may exist without being within a particular Liability Scope.

Causation and Allocation

Operational or causal contribution does not automatically determine Liability Allocation.

A Subject contributing more strongly to an operational outcome does not automatically receive the same proportion of Liability.

Therefore:

Causal Contribution $\neq$ Liability Allocation by default.

The applicable Liability Basis and governance methodology remain necessary.

Responsibility, Accountability, and Allocation

Responsibility and Accountability may be relevant inputs to Liability governance.

They remain separate concepts.

Therefore:

Responsibility Distribution $\neq$ Liability Allocation.

Accountability Attribution $\neq$ Liability Allocation.

LSAS prevents organizational responsibility structures from being automatically converted into Liability distribution.

Claims and Liability Scope

A Claim may request a particular amount, remedy, or scope.

That request does not establish the governed Liability Scope.

Therefore:

Claimed Amount $\neq$ Liability Scope.

Likewise:

Claim Acceptance $\neq$ Liability Scope Determination.

Claims remain separate from Liability governance.

Payment and Settlement

Payment does not necessarily reveal the underlying Liability Allocation.

Settlement does not necessarily establish the substantive Liability Scope that would otherwise have been determined.

Therefore:

Payment Distribution $\neq$ Liability Allocation.

Settlement Distribution $\neq$ Liability Allocation by default.

Scope & Allocation Change

Liability Scope and Allocation may change through the lifecycle.

Change may arise from:

new governed information, changed consequences, corrected boundaries, changed Determination, changed Relationships, or another legitimate governance event.

LSAS preserves these changes rather than treating Scope and Allocation as permanently static.

Historical Integrity

A new Scope or Allocation state must not erase the earlier state.

Therefore:

Current Liability Scope $\neq$ Complete Liability Scope History.

and:

Current Liability Allocation $\neq$ Complete Liability Allocation History.

Corrections, reassessments, and later states should remain reconstructable.

Re-Entry

Where LSAS reveals that the underlying problem is not Scope or Allocation, the process should return to the earliest materially affected governance space.

For example:

a Determination defect returns to LDS, a Connection defect returns to LCNS, a Condition defect returns to LCOS, a Relationship defect returns to LRS, and a Basis defect returns to LBS.

The governing principle remains:

Re-enter the earliest materially affected governance space.

LSAS must not manipulate Scope or Allocation to repair an upstream governance defect.

Position in the LIGA™ Governance Flow

The canonical LIGA™ Governance Flow is:

Liability Context → Liability Object → Liability Basis → Liability Relationships → Liability Conditions → Liability Connection → Liability Determination → Liability Scope & Allocation → Liability State & Change → Liability Transfer & Recourse → Liability Resolution & Discharge → Liability Continuity & Finality LSAS occupies the transition between:

Does Liability exist?

and:

What is the ongoing state of that Liability?

Its role is to establish:

what the Liability covers and where it belongs.

Relationship to Liability State & Change

LSAS produces the:

Governed Liability Scope & Allocation Structure

for the Liability State & Change Standard (LSCS).

LSCS does not need to reconstruct Scope or Allocation from raw Liability information.

It receives a governed structure identifying:

the established Liability, its extent, its distribution, relevant Subjects and Relationships, unresolved portions, and historical state.

The next governance question becomes:

What is the current governed state of Liability, and how may that state legitimately change?

Critical Distinctions

Liability Determination ≠ Liability Scope Liability Scope ≠ Liability Allocation Attached Liability ≠ Unlimited Liability Attached Liability ≠ Fully Known Liability Scope Potential Liability Scope ≠ Established Liability Scope Partial Scope ≠ Complete Scope Harm Scope ≠ Liability Scope Measured Loss ≠ In-Scope Liability Loss by default Liability Scope ≠ Monetary Amount by default One Event ≠ One Liability Allocation Shared Liability ≠ Identical Liability Local Liability Allocation ≠ Liability Network Allocation Unallocated Liability ≠ Nonexistent Liability Primary Liability Allocation ≠ Final Economic Burden Liability-Bearing Party ≠ Paying Party Insurance Coverage ≠ Liability Allocation by default Primary Liability ≠ Recourse Liability Causal Contribution ≠ Liability Allocation by default Responsibility Distribution ≠ Liability Allocation Accountability Attribution ≠ Liability Allocation Claimed Amount ≠ Liability Scope Payment Distribution ≠ Liability Allocation Settlement Distribution ≠ Liability Allocation by default Current Liability Scope ≠ Complete Liability Scope History Current Liability Allocation ≠ Complete Liability Allocation History

Use Case 1 — Multi-Party Industrial Liability

An industrial incident produces governed Liability Determinations for an operator and a maintenance provider.

LDS establishes that Liability attaches to both Subjects under different Liability Relationships.

LSAS then determines the Scope of each established Liability.

The operator's Liability may cover one defined part of the governed consequences, while the maintenance provider's Liability may cover another.

Where the applicable methodology requires distribution, LSAS establishes the corresponding Allocation structure.

It does not assume equal Liability merely because both Subjects are Attached.

It also does not treat insurance payments or later Recourse as changes to the original Liability Allocation.

The result is a Governed Liability Scope & Allocation Structure suitable for ongoing Liability State & Change governance.

Use Case 2 — Autonomous System Liability Network

An autonomous system causes an operational event involving a system operator, technology provider, infrastructure provider, and another relevant Subject.

LDS produces distinct Liability Determination States for the relevant Relationships.

LSAS establishes which consequences fall within each attached Liability, where the boundaries differ, and whether any portions remain unresolved.

It then governs the applicable Allocation across the relevant Liability Relationships without converting technical causation, operational responsibility, system control, or insurance coverage directly into Liability percentages.

The resulting structure preserves:

Subject-specific Scope, Relationship-specific Scope, Allocation, unallocated portions, uncertainty, and network relationships for subsequent Liability State, Transfer, Recourse, Resolution, and Finality governance.

Canonical Closing Statement

Liability does not become fully governable merely because its existence has been determined.

Its boundaries must still be established.

Its extent must remain distinguishable from Harm, loss, Claims, payment, insurance, responsibility, and causation.

And where multiple Liability Relationships exist, its distribution must be governed without collapsing distinct Subjects or Relationships into a single outcome.

LSAS provides that layer.

Attachment establishes Liability. Scope establishes its extent. Allocation establishes its distribution.

Determine Liability first. Then govern how far it extends and where it belongs.

Governed Links

Liability Scope & Allocation Standard (LSAS)

LIGA™ Architecture Map

LIGA™ Liability Governance Architecture — Liability Governance Layer

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